



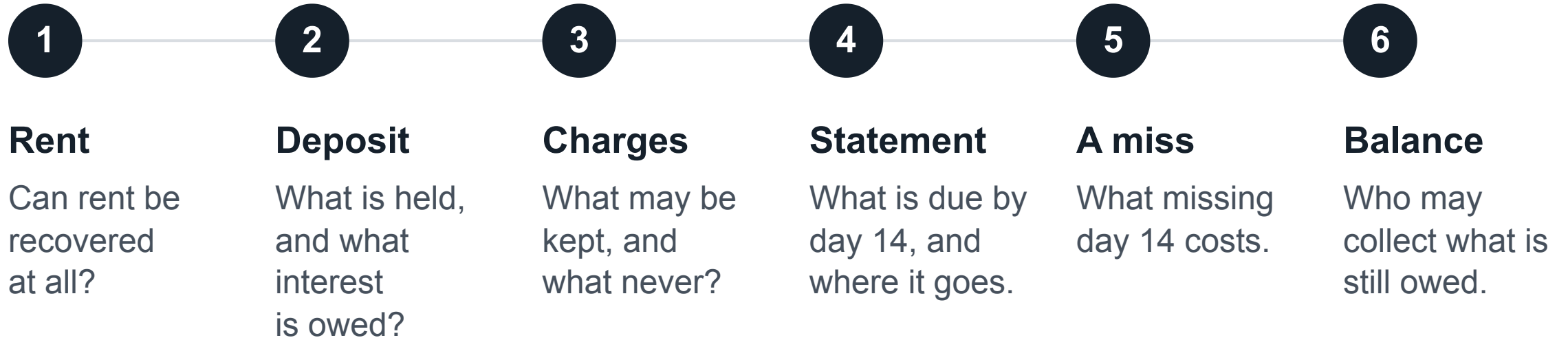
THE SETTLEMENT ENGINE

Settling a New York City move-out

What the law requires of a manager when a market-rate tenant leaves, and how Handoff handles each step.

OVERVIEW

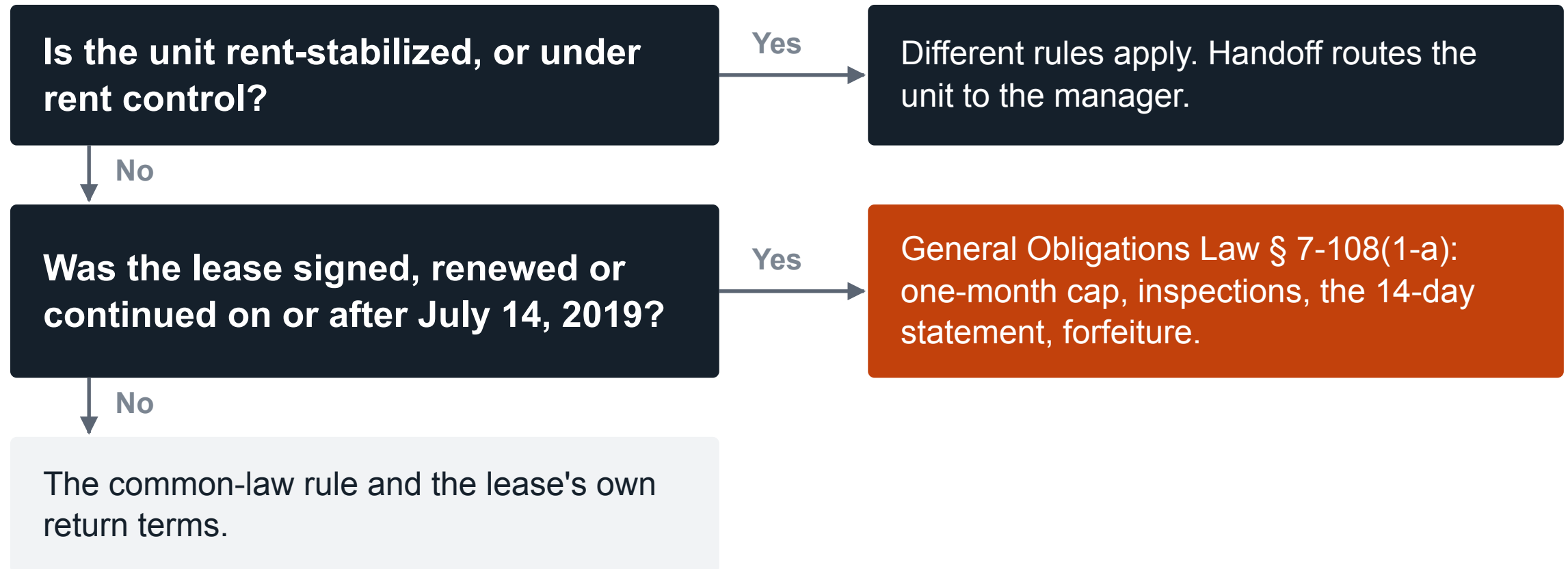
A move-out settlement in New York City runs in six steps.



Handoff's settlement applies every deadline, cap and barred charge for a New York City market-rate unit, each tied to the statute or decision it comes from.

WHICH RULES APPLY

The rules depend on the unit's status and the lease date.



Part 1

The law, step by step

What a manager must do at each step, and what Handoff does.

Three building facts decide whether rent can be recovered at all.

WHAT THE LAW REQUIRES

Certificate of occupancy. A building built or converted for three or more families after 1929 needs a certificate for that use. Without one, the owner recovers no rent for the period, by suit, setoff or keeping the deposit.

Registration. An owner that has not registered with HPD recovers no rent until it does; then the rent that built up is owed.

Rent-impairing violations. No rent while such a violation stays uncorrected six months after notice, unless the tenant caused it or refused access.

HOW HANDOFF HANDLES IT

Reads the building's certificate, HPD registration and violation record before any rent goes on the account.

A missing fact goes to the manager.

The deposit is the tenant's money, held in trust, and often earns interest.

WHAT THE LAW REQUIRES

Cap. The deposit plus any advance rent may not exceed one month's rent.

Trust. The deposit may not be mixed with the landlord's money. Mixing it forfeits the deposit.

Interest. In a building of six or more units, it sits in an interest-bearing New York bank account. The landlord may keep 1% a year.

Move-in record. If the tenant accepts a joint move-in inspection, nothing on the signed record can be charged later.

HOW HANDOFF HANDLES IT

Records the deposit, the bank, who paid which part, and the signed move-in record.

Code computes the interest owed at the end date.

The deposit may be kept for four things, and never for wear and tear.

MAY BE KEPT

- Unpaid rent already due
- Damage beyond normal wear and tear
- Utility charges owed under the lease
- Moving and storing the tenant's belongings

MAY NOT BE KEPT

- ⊖ Wear and tear, or a prior tenant's damage
- ⊖ Late fees and other fees
- ⊖ A lease-break sum
- ⊖ Anything noted on the move-in record
- ⊖ Legal fees without a court order
- ⊖ Any fee charged by the agent who leased the unit

Code bars what the law excludes. The judgment model decides wear and tear or damage.

The itemized statement is due 14 days after the tenant vacates, by a channel that reaches them.

WHAT THE LAW REQUIRES

Counting. Calendar days, not counting the move-out day. Day 14 on a weekend or public holiday moves to the next business day.

Form. In writing: a letter, email or text. A phone call does not count.

Channel. Use the forwarding address, email or phone on file. Mail to the vacated unit only if there is no other channel.

Estimates. Allowed if each item is itemized. There is no second statement.

HOW HANDOFF HANDLES IT

Computes the due date from the vacate evidence.

Sends the statement and refund by a lawful channel and keeps proof of sending.

A missed deadline forfeits the deposit, and a willful one costs up to twice it.

2x

the deposit, at most, in damages for a willful violation, on top of returning it.

Forfeiture. A missed statement loses any right to keep the deposit. Intent does not matter.

Burden. In a dispute, the landlord proves each amount kept was reasonable.

Willful. A court finds it on the record. A manager is held to know the rule; an honest process error is not willful.

The debt survives. Proven rent and damage can still be claimed separately.

| Handoff keeps the day-14 clock in front of the coordinator that books the vendor work.

A balance beyond the deposit is a lease claim, and who collects it decides the rules.

WHAT THE LAW REQUIRES

Time and interest. Six years to sue today. Interest runs at 2% a year when the tenant is a person, 9% for a company.

The owner collecting. Not a federal debt collector. City rules limit its staff's contacts once collection begins, and tighten in 2027.

A third party collecting. Federal debt-collection rules apply after default. An agency needs a city license. Collecting rent for another for a fee needs a broker's license.

HOW HANDOFF HANDLES IT

Recommends whether to pursue, hand off or write off a balance, and shows the net recovery.

The owner or licensed manager sends the demand and receives the payment.

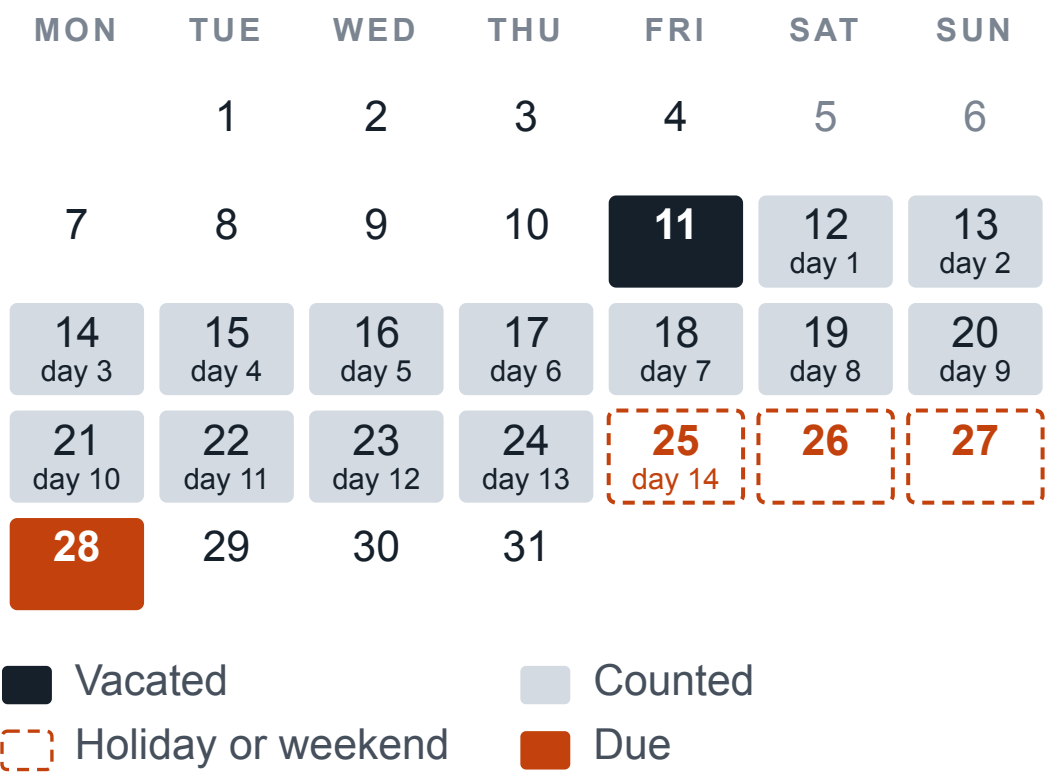
Part 2

Worked examples

Three move-outs, and what the law and Handoff do with each.

EXAMPLE 1 · THE DEADLINE

Vacated Friday, December 11, 2026: the statement is due Monday, December 28.



Day 0. The tenant vacates on Friday, December 11. The move-out day is not counted.

Day 14. Friday, December 25, a public holiday. Saturday and Sunday follow.

Due. Monday, December 28, the next business day.

Handoff. Sets the date in code and schedules vendor evidence to land by about day 10.

EXAMPLE 2 · A REPAINTING CHARGE

A painting invoice is not proof of damage.

THE MOVE-OUT

A tenant leaves a walk-up after three years.

The painter bills \$1,400 to repaint the unit.

The tenant painted one bedroom dark red. It needs two extra coats.



THE LAW

In a multiple dwelling, the owner repaints every three years.

Repainting after ordinary use is wear and tear.

Only damage beyond that is charged, at the cost of the extra work.



THE ACCOUNT

Charged: two extra coats in one bedroom, \$220, with the invoice line and photos.

Not charged: the \$1,400 repaint.

The manager sees the basis on the line.

EXAMPLE 3 · CO-TENANTS

Two co-tenants: one statement each,
and the refund follows who paid.

THE MOVE-OUT

Two co-tenants paid a \$3,000 deposit, \$1,500 each, as the landlord's records show.

One leaves in month 8. The other leaves at lease end.

Lawful deductions: \$400.



THE LAW

The 14-day clock starts when the last co-tenant leaves.

Each co-tenant gets a statement.

With records of who paid what, the rest is split in proportion. Without them, the refund is joint.



THE ACCOUNT

No statement in month 8.

Within 14 days of the second move-out: a statement and \$1,300 to each.

Paying all \$2,600 to one would not release the landlord toward the other.

Part 3

How Handoff handles it

Who sets what in a settlement, and what the manager sees.

DIVISION OF WORK

Code sets the dates and amounts. A narrow model answers judgment questions. The manager decides.

Code

Day 14 with rollover, the deposit cap, interest, barred charges.

Judgment model

Wear and tear or damage? Noted at move-in? Does the invoice cover it?

Coordinator

Gathers evidence, books vendors before day 14, drafts the statement.

Manager

Accepts or changes the whole account once.

| A judgment never sets an amount or a date, and never discounts a charge.

WHAT THE MANAGER SEES

Every line on the account shows its rule, evidence, judgment and arithmetic.

Bedroom repaint, two extra coats				\$220
RULE Damage beyond normal wear and tear. Gen. Oblig. Law § 7-108(1-a)(b).	EVIDENCE Move-in record: walls white. Move-out photos. Invoice line 3.	JUDGMENT Tenant damage: a color that needs extra coats.	ARITHMETIC Two coats at \$110 each: \$220, kept from a \$2,800 deposit.	

TODAY AND IN THE PILOT

The turn runs today. The pilot adds the settlement for New York City market-rate units.

RUNS TODAY

The turn

Work. Notice, plan, vendor quotes, approval, visits, reports, invoices and payment.

Records. Parties, dates, unit condition, invoices and exact amounts.

DELIVERED IN THE PILOT

The settlement

Checks. The building facts, the deposit and its interest, and the barred charges.

Account. The account, the statement and refund by day 14, and advice on any balance.

Stabilized and rent-controlled units go to the manager.